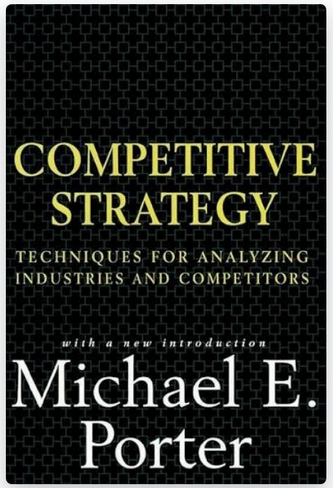
Competitive Strategy

The customer decides who you compete with.

Find a spot you can defend. Expect to move.

Three ways of thinking about competition. Then Éclat, live, with AI in the room.

Three books. Three ways to think about competing.

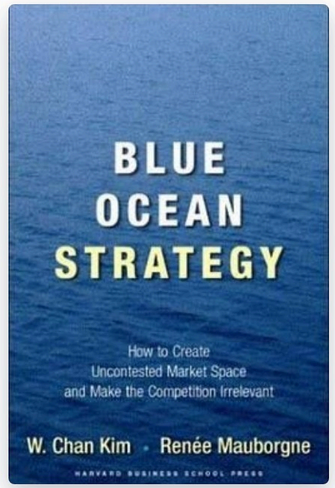


Michael Porter

1980

Analyze the industry you're in.

Where should we stand, and why does that spot make money?

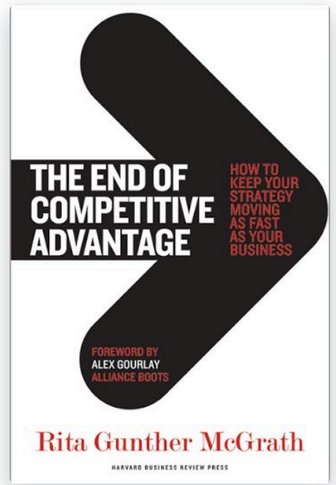


W. Chan Kim & Renée Mauborgne

2005

Move to new space. Stop fighting in the old one.

Can we create a market where there's nobody to fight yet?



Rita McGrath

2013

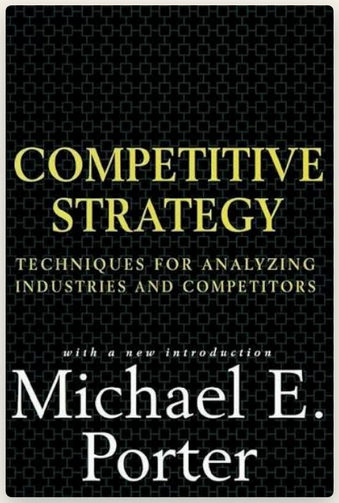
The ground keeps moving. Keep adapting.

How long will this advantage last, and what comes next?

HOW TO HEAR THEM

Each book was written in reaction to the one before. You'll use all three.

Michael Porter: analyze the industry you're in.



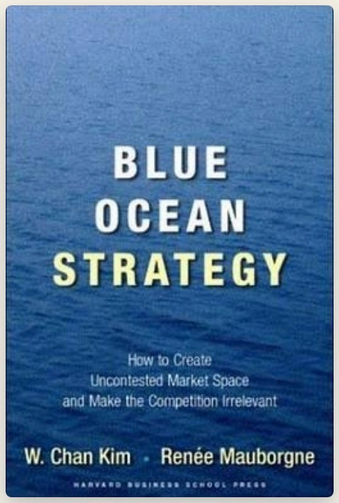
The industry you're in decides how much money is available. Your job is to find a spot in it you can defend.

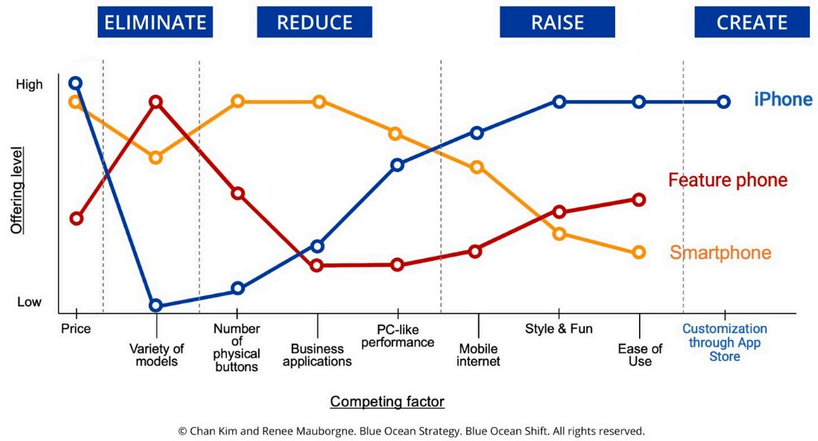
THE FIVE FORCES

New entrants · Suppliers · Rivalry · Buyers · Substitutes

FIVE FORCES	The five things that decide how much profit an industry leaves for anyone in it
THREE WAYS TO WIN	Be the lowest cost, be different enough to charge more, or focus on one group better than anyone
TRADEOFFS	Strategy is choosing what you won't do. Try to be everything and you're stuck in the middle
FIT	When your choices support each other, a rival can copy one but not the whole system

Blue Ocean: move to new space instead of fighting in the old one.



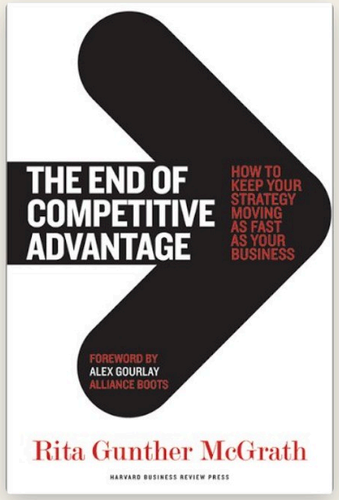


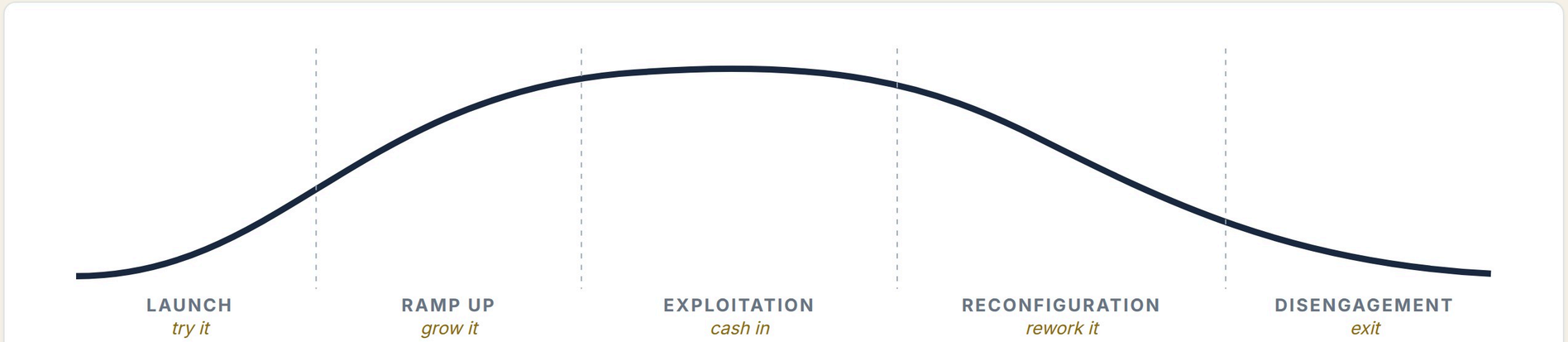
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Stop fighting competitors for the same customers. Create a market where there's nobody to fight yet.

RED VS. BLUE	Red oceans are crowded markets where everyone fights. Blue oceans are new space nobody's in yet
CHEAPER AND BETTER	Cut what customers don't value, spend on what they do. Porter said pick one; they say do both
FOUR ACTIONS	Eliminate, reduce, raise, create. A simple grid for redesigning what you offer
NONCUSTOMERS	Growth hides with the people who don't buy from anyone in your industry yet

Rita McGrath: the ground keeps moving. Keep adapting.





No advantage lasts anymore. The skill is building the next one before this one wears out.

ARENAS	You don't compete in an industry. You compete for a customer's job, against anyone who can do it
THE WAVE	Every advantage is born, grows, pays off, and fades. Know which stage you're in
STABLE CORE, FAST EDGES	Keep who you are and how you treat customers. Keep changing what you sell
PLANNED EXITS	Walk away from a fading business on purpose, before you're forced to

Five forces decide how much money an industry leaves on the table.

NEW ENTRANTS

How easy is it for someone new to start?

Strong when it takes little money, skill or licensing to open up.

SUPPLIERS

Can the people you buy from squeeze you?

Strong when there are only a few of them and switching is hard.

RIVALRY

How hard do competitors fight each other?

Strong when there are many look-alikes, high fixed costs and slow growth.

BUYERS

Can your customers squeeze you?

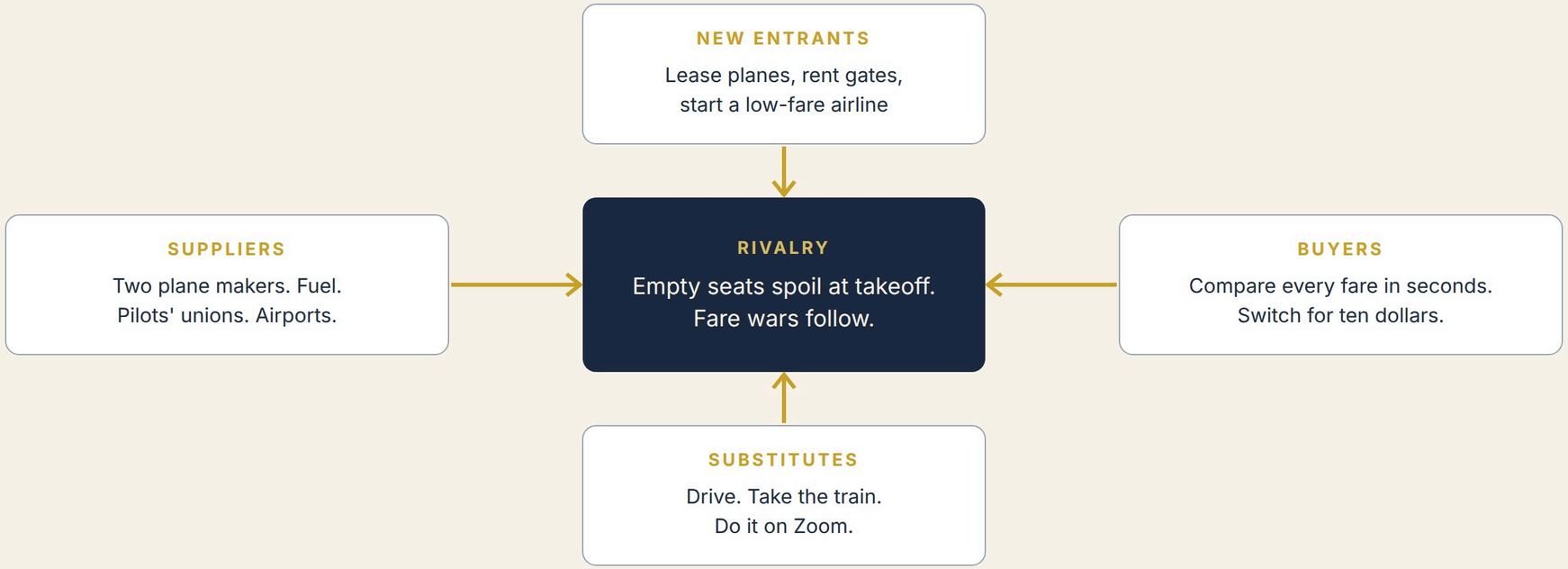
Strong when they're big, few, or can compare and switch easily.

SUBSTITUTES

Can the customer solve the problem another way?

Strong when the other way is cheaper or good enough.

More people fly than ever. Why do airlines struggle to make money?

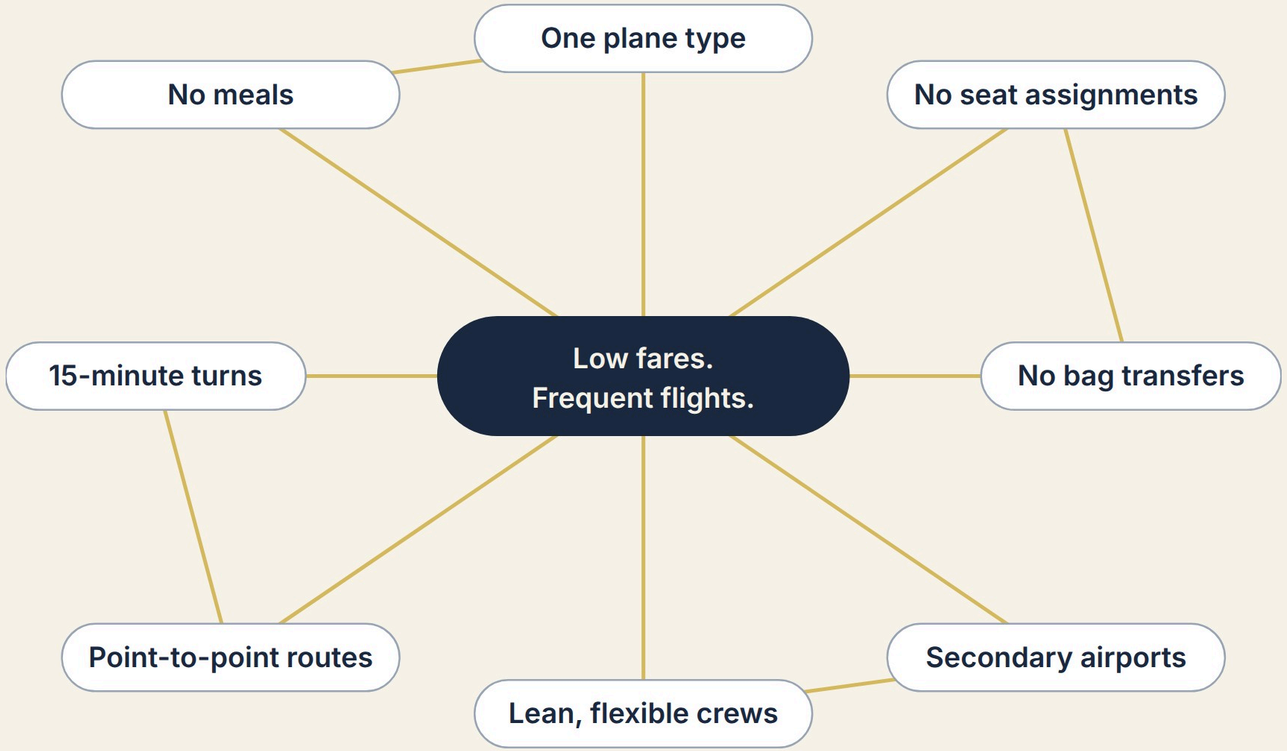


Great demand, bad structure. The strongest force sets the ceiling on profit. Startups don't beat all five. They change one.

YOUR BUSINESS

Which force squeezes you hardest?

Being better isn't a strategy. Being different is.





SOUTHWEST · THE ORIGINAL LOW-FARE AIRLINE

Doing the same things better gets copied. Southwest chose different things, and each choice makes the others work. A rival can copy one piece. Copying the whole system means giving up what they already are.

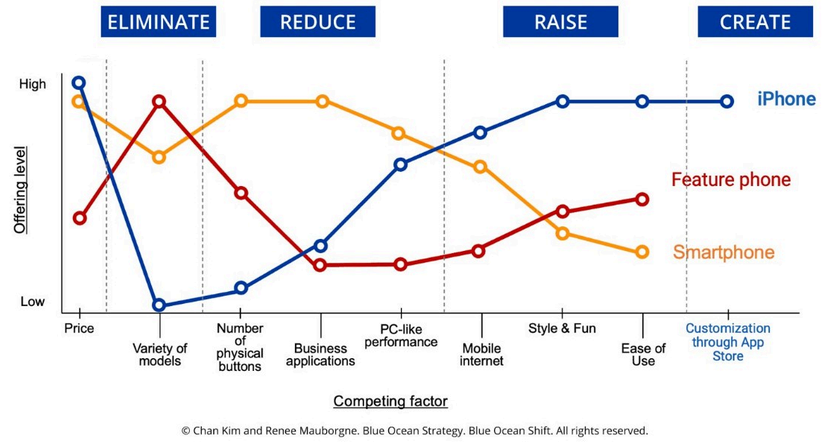
CONTINENTAL LITE · 1993 TO 1995

Copied the pieces. Kept the full-service airline around them. Gone in two years.

THE TEST

What do you refuse to do for customers? If the answer is nothing, you don't have a strategy yet.

Red oceans are crowded. Blue oceans are empty.



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Red ocean FIGHT IN THE MARKET THAT EXISTS	Blue ocean CREATE A MARKET NOBODY'S IN YET
Compete for the same customers	Find customers nobody is serving
Beat the competition	Make the competition irrelevant
Fight over the demand that's there	Create new demand
Pick one: cheaper or better	Do both: cut cost and add value

The circus was dying. What would you cut?



Eliminate

What the industry takes for granted that you drop

Star performers · Animal shows · Aisle concessions · Multiple rings

Raise

What you do far better than the industry

A unique venue

Reduce

What you do well below the industry standard

Fun and humor · Thrill and danger

Create

What the industry has never offered

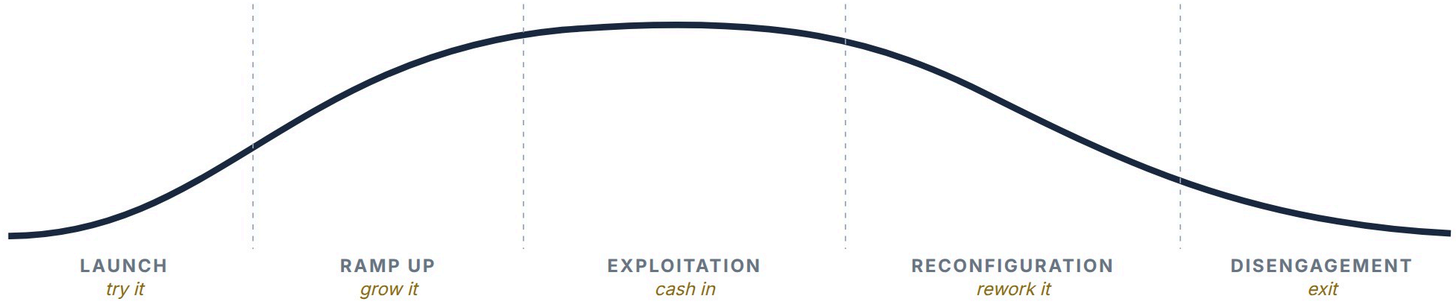
A theme and a story · A refined setting · Several productions · Artistic music and dance

Cirque du Soleil, Montreal, 1984: a circus for adults. Animals and stars were the two biggest costs. Adults paying theater prices were the new buyers.

PORTER SAID

Pick one. Blue Ocean says the grid lets you do both.

Porter wrote for a world that held still. Most of us don't live there.



A stable world ADVANTAGE THAT LASTS	A changing world ADVANTAGE THAT WEARS OUT
You compete in an industry	You compete for a customer's job, against anyone who can do it
Build a position and defend it	Build the next one before this one runs out
An advantage lasts decades	It lasts a few years, sometimes months
Restructure once in a while, painfully	Adjust all the time, a little at a time
Walking away is failure	Walking away is planned

Your competitor is whoever else can do the customer's job.

THE JOB

Capture a moment

The industry: cameras and film

Who won: the phone

THE JOB

Get somewhere new

The industry: maps and GPS units

Who won: the phone

THE JOB

Wake up on time

The industry: alarm clocks

Who won: the phone

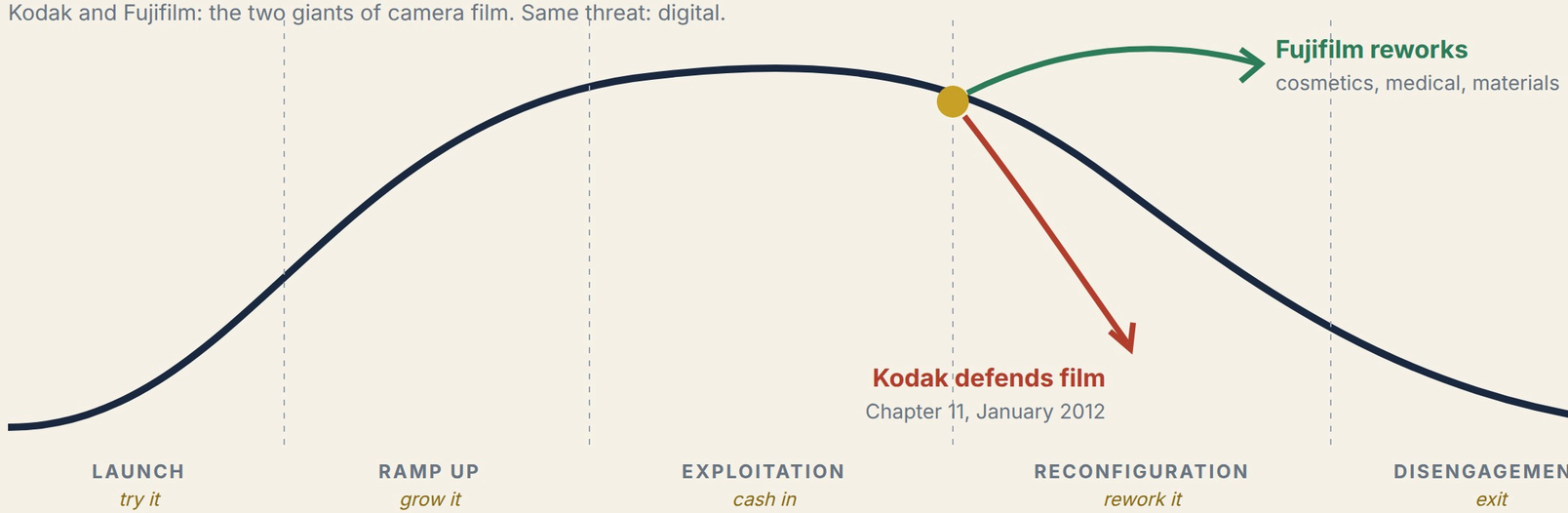
None of those companies saw a phone maker as a competitor. The industry is the wrong map. The customer's job is the right one.

YOUR BUSINESS

What job does your customer hire you for? Who else could they hire, inside or outside your industry?

Every advantage wears out. Know where you are on the wave.

Kodak and Fujifilm: the two giants of camera film. Same threat: digital.



Most companies are built for one stage: cashing in. It's profitable and it feels safe, so they stay too long.

YOUR BUSINESS

Where is your main offer on this curve? What's in launch behind it?

Which question matters most for you right now?

	THE QUESTION	THE TOOL	HOW IT GOES WRONG
Porter	What position makes money here?	Five Forces · tradeoffs · fit	Trying to be better instead of different
Blue Ocean	Can we leave the fight?	Strategy canvas · Eliminate, Reduce, Raise, Create	The blue ocean turns red
McGrath	How long will this last?	Arenas · the wave · stable core, fast edges	Staying too long in the cash-in stage
What AI changes	Everyone gets the same tools. Doing it better stops being an edge.	Raising and creating get cheap. Personal service at scale.	The wave gets shorter. Copying takes weeks.

QUICK POLL

Porter, Blue Ocean, or McGrath. Which one does your business need most this year?

WORKSHOP · LIVE · ÉCLAT CHOCOLATE

Now we do this for Éclat.

ARENAS	Who does Éclat compete with? Sort them by what the customer is trying to do.
PORTER	In corporate gifts, which force squeezes Éclat hardest?
BLUE OCEAN	Is that a red ocean? What could Éclat drop, and what could it offer that nobody does?
MCGRATH	Where is each part of Éclat on the wave? What should be launching next?
ONE SENTENCE	Where Éclat plays, and where it won't.



Chris isn't here tonight. We're his outside advisors. Anything we can't answer goes on a list for him.

BEFORE NEXT SESSION

Run tonight on your own business.

WITH AI · THE PROMPT PACK

1 · ARENAS	Who else could your customer hire for the same job?
2 · CANVAS	Plot you against the two alternatives they'd pick instead.
3 · GRID	Eliminate, Reduce, Raise, Create. At least one in each box.

Tag every claim the AI makes: fact, assumption, or question.

READING

PORTER	"What Is Strategy?" HBR, 1996
MCGRATH	"Transient Advantage," HBR, 2013

POST IT

Your grid, on the community site. Slides and prompts go up tonight.